Model Question

BA ECONOMICS (HON.) Semester 5

Discipline Specific Core Course (DSC) - MG5DSCECO301 - INTERNATIONAL ECONOMICS

Duration: 2 hours **Maximum marks: 70**

Part A

Multiple Choice Questions

Answer all questions

Each Question Carries 1 mark

1. According to the doctrine of Mercantilism, what was considered the primary source of a nation's wealth? **(U)/(CO1)**

A.Efficiency of industrial production

B.Accumulation of precious metals

C.Total stock of consumer goods

D.High volume of agricultural output

2. Which economist introduced the theory of Absolute Advantage in international trade? (K)/CO1)

A.Eli Heckscher B.Wassily Leontief

C.Adam Smith D.David Ricardo

3. What is the primary basis for international trade according to the Heckscher-Ohlin theory? **(U)/(CO1)**

A.Differences in technological knowledge

B.Differences in labor productivity

C.Differences in consumer tastes

D.Differences in factor endowments

4. Which of the following items is recorded in the Current Account of a country's Balance of Payments? [K/CO2]

A.Unilateral transfers received from abroad

B.Foreign direct investment inflows

C.Purchase of foreign government bonds

D.External commercial borrowings by domestic firms

5. Which mechanism is classified as a direct non-monetary trade measure to restrict import volume? [K]/ (CO2)

A.Import quotas B.Exchange control C.Currency devaluation D.Monetary deflation

6.Which policy action represents a monetary measure to correct a Balance of Payments deficit? [U]/)CO2)

A.Devaluing domestic currency under a fixed exchange system

B.Raising protective import tariffs on consumer goods

C.Imposing strict import quotas on foreign goods

D.Subsidizing export-oriented manufacturing firms

7. An Indian firm expects to receive $100,000 in 3 months. The spot rate is 83 rupees per US dollar and the 3-month forward rate is 84 rupees per US dollar. How can the firm hedge against the risk of rupee appreciation? [A]/ (CO3)

A.Buy US dollars in the spot market today.

B.Buy US dollars in the 3-month forward market.

C.Sell US dollars in the 3-month forward market.

D.Sell US dollars in the spot market today.

8. Which statement best describes the official exchange rate regime currently followed by India? [U]/(CO3)

A.Fixed parity system tied to a physical gold standard.

B.Pure flexible exchange rate system with no intervention.

C.Fixed exchange rate pegged strictly to the US dollar.

D.Managed floating rate system with central bank intervention

9. Which fundamental principle of the World Trade Organization (WTO) requires member countries to treat all trading partners equally without discrimination? [K]/(CO4)

A.National treatment principle

B.Quantitative restriction rule

C.Most-Favored-Nation principle

D.Special and differential treatment

10. What is the primary function of the International Monetary Fund (IMF)? [K]/(CO4)

A.Providing short-term balance of payments assistance

B.Financing long-term economic infrastructure projects

C.Regulating international trade rules and trade disputes

D.Determining official exchange rates for national banks

[10x1 = 10]

PART B

Short Answer Questions

Answer any 10 Questions

Each Question carries 3 marks

11. What is meant by the "Mercantilist View" of foreign trade? **(U)/(CO1)**

12. State the core proposition of the Factor Price Equalisation Theorem. **(K)/(CO1)**

13. Explain Adam Smith's Theory of Absolute Advantage with a suitable two-country, two-commodity hypothetical numerical example. **(U)/(CO1)**

14. Summarise the key assumptions underlying the Heckscher-Ohlin (2x2x2) Trade Model. **(A)/(CO1)**

15. Define the Balance of Payments (BoP) and distinguish clearly between the Current Account and the Capital Account, listing the major items recorded under each. **(U)/(CO2)**

16. Explain how currency devaluation acts as a monetary measure to correct an adverse Balance of Payments deficit. **(A)/(CO2)**

17. State the Marshall-Lerner Condition. Using a practical numerical example, demonstrate what happens to a country's trade balance following a 10% currency devaluation if the sum of price elasticities of demand for exports and imports (e_x + e_m) equals 1.4. **(A)/(CO2)**

18. Define the Mint Parity Theory of exchange rate determination and state the core condition required for its operation under the classical Gold Standard. (K)/ (CO3)

19. Outline the key features of the Managed Floating Exchange Rate System currently operated by the Reserve Bank of India (RBI). **[U]/ (CO2)**

20. Define an import quota and state two main economic differences between a tariff and an import quota. **[U]/ (CO3)**

21. What is a Customs Union, and how does Jacob Viner's concept of trade creation differ from trade diversion? **[U]/ (CO3)**

22. State the primary objective of the IMF and explain how its core function differs from that of the World Bank. **[U]/ (CO4)**

23. Explain what is meant by economic "decoupling" and evaluate how it affects Global Value Chains (GVCs). **[E]/ (CO4)** **[10x3 = 30]**

Part C

Answer Any 5 Questions

Each Question Carries 6 marks

24. Critically examine David Ricardo's Theory of Comparative Advantage. What are its main limitations in modern global economics? **(U)/(CO1)**

25. Discuss the concept of Terms of Trade. Explain Single Factoral and Double Factoral Terms of Trade and highlight the factors that influence a nation's terms of trade. **(U)/(CO1)**

26. Criticallyexplainn the monetary measures used to correct a Balance of Payments disequilibrium **(U)/(CO2)**

27. Analyse how the the Balance of Payments Theory is superior to the earlier versions of Exchange Rate Determination **(An)/(CO3)**

28. Explain the deadweight loss of an import tariff using a partial equilibrium diagram, and critically evaluate the Infant Industry argument for protectionism. **(E)/(CO4)**

29. Discuss the foundational principles of the WTO (including MFN and National Treatment) and evaluate the criticism faced by IMF conditionality programs in developing countries. **(E)/(CO4)**

30. Analyze the main structural causes driving the current trend of deglobalisation, and evaluate whether de-dollarisation poses a realistic challenge to US Dollar dominance. **(E)/(CO4)**

[5x6 = 30]